

EU IV: EU Competition Policy (AUW)

Political Science — Master Notes · by Jakob V. Stangel

Required reading: Wilks, S. (2014), "Competition Policy: **Defending the Economic Constitution**," in H. Wallace, M. A. Pollack & A. R. Young (eds), *Policy-Making in the European Union*, 7th ed., OUP, ch. 6.

Theme of the lecture. Competition policy is the lecture's **worked example of "EU institutions in action"** — and it's a special one: arguably the **most developed, most supranational** common policy underpinning the Single Market. After the basics (what competition policy is, its instruments, why it's so supranational), the lecture zooms in on **high-profile recent cases** — **Google Shopping** (abuse of dominance in digital markets → the DMA) and **Fiat/Apple** (tax breaks as illegal state aid), plus **foreign subsidies**. Throughout, three theoretical lenses compete to explain it: **liberal intergovernmentalism, supranationalism/neofunctionalism, and ideas (constructivism)**.

★ **The heart of the lecture:** competition policy keeps the market's playing field **level** — stopping **firms** (cartels, abuse of dominance, anti-competitive mergers) *and* **governments** (state aid, foreign subsidies) from rigging competition. It is the EU's **most supranational** policy: an **exclusive competence** where the **Commission (DG COMP)** makes, enforces, and adjudicates the rules — investigator, prosecutor and judge in one. Wilks's thesis: this makes competition policy the EU's "**economic constitution**" — the foundational, quasi-constitutional rules that entrench a competitive market order.

Red thread: why is the Commission *so* powerful here — and is competition policy just being *adapted* to digital markets, or is the EU *redefining what competition means*?

Key concepts to apply: *the economic constitution / ordoliberalism · competition vs competitiveness policy · exclusive competence · antitrust (Art. 101 cartels · Art. 102 abuse of dominance) · merger control · state aid (Arts. 107–109) · DG COMP · the European Competition Network (ECN) · leniency · gatekeepers · ex-post vs ex-ante regulation (the DMA) · foreign subsidies · the three lenses (LI · supranationalism · ideas).*

What is competition policy? (competition ≠ competitiveness)

Core: a crucial distinction the lecture opens on. **Competition** policy and **competitiveness** policy sound alike but are opposites in method.

	Competition policy	Competitiveness policy
Question	how do we maintain effective competition between firms in the EU market?	how do we make European firms/the economy more productive & globally competitive?
Method	referee — police and constrain firms & governments	booster — support and promote industry

- **The puzzle:** *when should public authorities intervene in markets to protect competition?* The flashpoints: cartels, market dominance, state aid, digital gatekeepers, foreign subsidies.

Why the single market needs rules of competition

Core: open markets create incentives to **compete** — but also incentives to **escape** competition. Competition policy exists to stop four kinds of rigging.

- **The basic problem:** actors have incentives to **reduce** competition (it's more profitable not to compete). EU competition policy tries to prevent:
 1. **firms restricting competition** (cartels);
 2. **dominant firms abusing** market power;
 3. **governments distorting** competition through **state aid**;
 4. **anti-competitive mergers**.
- → Competition rules are the **complement** to the single market: EU III removes state barriers to trade; competition policy stops **private** actors (and subsidies) from rebuilding those barriers.

An exclusive competence

Core: competition is one of the EU's few **exclusive competences** (Art. 3 TFEU) — *only the EU* sets the competition rules needed for the internal market. This is why it's so supranational.

- Because it's exclusive, **supranational authorities** hold substantial responsibility for the whole chain: **making the rules → enforcing them → developing the policy**. (Contrast the *shared/supporting* competences from EU II.)

★ The competition policy toolbox

Core: six instruments — **four traditional pillars** plus **two new frontiers** — all wielded by the European Commission / DG COMP.

#	Instrument	Purpose	Treaty base
1	Cartels	stop firms colluding	Art. 101 TFEU
2	Abuse of dominance	stop dominant firms excluding rivals	Art. 102 TFEU
3	Merger control	block mergers that substantially harm competition	Merger Regulation
4	State aid	stop governments selectively distorting competition	Arts. 107–109 TFEU
5	Digital-market regulation (new)	pre-empt anti-competitive behaviour by gatekeepers	the DMA
6	Foreign-subsidies regulation (new)	curb non-EU subsidies distorting the EU market	Foreign Subsidies Regulation

→ Pillars 1–4 are the classic core; 5–6 are the EU's response to **digital platforms** and **geopolitical** competition (China). The rest of the lecture walks each one.

★ The "economic constitution" — Wilks's central argument

Core: Wilks's thesis and the chapter's title — competition policy is not just another policy; it is **constitutional**. The competition rules are the EU's "**economic constitution**": the foundational, quasi-constitutional principles that **guarantee a competitive market order**, disciplining **firms and governments**.

- **The ordoliberal idea.** "Economic constitution" (*Wirtschaftsverfassung*) comes from German ordoliberalism: the state's core job is to **set and defend a legal framework that guarantees competition** — protecting the competitive order from **both** private power (cartels, monopolies) and state distortion (subsidies).
- **The ECB analogy (memorable):** *just as the ECB guarantees a sound currency and low inflation, the competition rules guarantee a free market and economic efficiency* — together an "**economic constitution**" for Europe.
- **Why "constitutional":** as the EU's treaties function like a constitution, their economic provisions become constitutional principles that structure the whole economy — and *frame other policies* (R&D, environment, telecoms, media). Every economic actor must accept the market order the rules define. This is why competition policy can **discipline national governments**, not just companies.
- **Three edges Wilks draws out:** (1) it makes **DG COMP "doubly insulated"** — exceptionally independent; (2) "**juridification**" — the economy is increasingly run through **law and courts** (economic rights protected, but at the cost of legal process); (3) it **embeds a particular, arguably neoliberal, market model** — raising the political stakes (the **social-market/"Rhenish"** vs **Anglo-Saxon** debate — see [history](#)).
- **It was contingent, not inevitable:** this free-market vision became dominant only via the **1980s neoliberal turn + the 1992 single market**, and was **consolidated by the collapse of communism and eastern enlargement** (new members swallowed it whole as part of the *acquis*).

How does the EU enforce competition rules?

Core: competition policy is **the** most supranational EU policy because the market **needs** uniform rules — and the **Commission (DG COMP)** is a uniquely powerful enforcer combining **economic analysis + legal authority + enforcement** in one house.

- **Multi-level, but Commission-led:**
 - **EU level:** common rules • **Commission enforcement** • **CJEU** review.
 - **National level:** **National Competition Authorities (NCAs)** enforce within member states, coordinated through the **European Competition Network (ECN)**.
- **The Commission's role has expanded** — from merely **proposing** common rules to running the whole enforcement chain: **investigation → enforcement → remedies → fines**. It has become "an increasingly **autonomous** competition regulator" — effectively **investigator, prosecutor, and judge** in one (a key debate — see [the due-process critique](#)).
 - Enforcement teeth: **dawn raids** (surprise inspections), heavy **fines** (up to **10% of global turnover**, paid into the **EU budget**), **commitments/remedies**, and — for cartels — the [leniency](#)

programme.

- **DG COMP** — "perhaps the most powerful competition authority in the world" (*Wilks*). A small directorate (~720 staff) but exceptionally **autonomous** — ranked among the five "elite" global agencies (with the US FTC & DOJ). Its **administrative model** (officials investigate *and* decide) is a global alternative to the US **court-based** model.
- **Modernization — Regulation 1/2003** (*Wilks*). A "once-in-a-generation" reform that **decentralized** antitrust enforcement to the **NCA**s (under Commission supervision), coordinated through the **European Competition Network (ECN)**. It **replaced national laws with EU law** for cross-border cases and **mobilized NCA resources** — vital, since DG COMP is chronically **understaffed** (~436 senior officials policing 450m+ consumers).
- **The "prosecutor, judge and jury" critique** (*Wilks — a key legitimacy debate*). In the Art. 101 process one **rapporteur** investigates, negotiates *and* prosecutes, then DG staff **decide and set the fine** — all inside one organization ("policeman, arbitrator, prosecutor, judge, jury *and* prison officer"). Hence recurring calls for an **independent European Cartel Office** — and the **General Court** has pushed back (it overturned the Commission in *Airtours* 2002 for "manifest errors"). → *the accountability problem grows sharper as DG COMP grows more powerful (see debates).*

Pillar 1 — Cartels (Article 101 TFEU)

Core: the classic sin: **competitors agreeing not to compete**. Art. 101 prohibits **agreements and concerted practices** that prevent, restrict or distort competition.

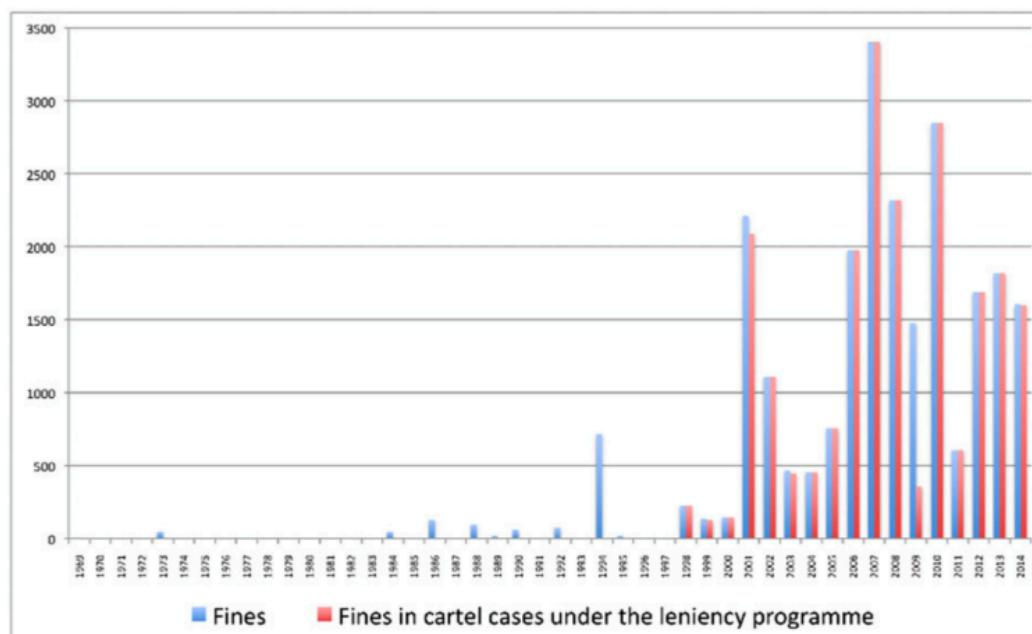
- **Typical cartel conduct:** price-fixing · market-sharing · production limits · restrictions on technical development (R&D).
- **The car-emissions cartel** (Daimler, BMW, VW): the firms held technology that could cut harmful **nitrogen-oxide (NOx)** emissions — and **agreed not to compete** on developing/deploying it. → *Illustrates:* a cartel can suppress not just price competition but **innovation itself** — colluding to keep a cleaner technology off the market. (*A striking answer to "why would firms agree not to innovate?": innovation is costly, and not competing protects everyone's margins.*)

| The leniency programme — the Commission's best cartel-buster

Core: cartels are secret, so the EU turns members against each other: the **first** conspirator to **confess** and hand over evidence gets **total immunity** (or a big discount). A **whistleblower** tool that makes cartels unstable from within.

- **How it works:** self-report → **full exemption** for the first mover; **reduced fines** for later cooperators. Because each member fears a rival will defect first (a **prisoner's dilemma** turned against the cartel), it **destabilizes** cartels and cracks open cases the Commission could never prove alone.

Figure 1: Total fines per year (1962–2014. Constant millions of euros 2010)



How to read it. Two things jump out: (1) enforcement was **tiny** until ~2000, then **exploded** — the Commission grew into a heavyweight regulator (peaks ~€3.4 bn in 2007, ~€2.8 bn in 2010); (2) most of the biggest years are **red** — **cartel fines under the leniency programme** — showing how central leniency became to modern enforcement. → *Visual proof of the deck's "increasingly autonomous regulator": the Commission's competition muscle is a recent, dramatic development.*

Pillar 2 — Abuse of a dominant position (Article 102 TFEU)

Core: the crucial nuance — **being dominant is *not* illegal**. What's banned is **abusing** dominance to squeeze out competitors.

- **Dominance ≠ abuse:** a firm can lawfully grow big and win the market. Art. 102 bites only when it **abuses** that position. Typical abuses:
 - **exclusive purchasing** requirements (lock customers in);
 - **predation** (price below cost to kill rivals, then raise prices);
 - **refusal to supply** an input rivals need to compete;
 - **excessive pricing** — e.g. the **Aspen** case (a pharma firm hiking prices of off-patent drugs).
- → *The hard question is always **where dominance ends and abuse begins** — which is exactly what Google Shopping tests in digital markets.*

Pillar 3 — Merger control (Wilks)

Core: the "dramatic face" of competition policy — the Commission can **block or condition** mergers that would create a dominant position. A "**one-stop shop**" for Europe's biggest deals.

- **Legal basis:** the **Merger Regulation** (Reg. 4064/89 → 139/2004, in force 1990) — Sir **Leon Brittan's** triumph that made DG COMP **globally pre-eminent**. (*Note: merger control was **not** in the original Treaty — it had to be added in 1989.*)
- "**One-stop shop**": the Commission handles the **largest** mergers (aggregate turnover above a **€5 bn** threshold — **~300/year**); smaller deals go to national authorities. Firms **prefer** it — **fast, transparent, one approval** instead of 28.
- **Two phases:** **Phase 1** (most cleared within a month) → **Phase 2** (in-depth). **Outright blocks are rare** (only **~4 in 2003–12**); the norm is **approval with conditions** (e.g. **divestitures**).
- **The test:** originally "**dominance**"; the **2004 reform** added "**significant impediment to effective competition**" (SIEC), nudging toward the US/UK "substantial lessening of competition" standard — but it stays an **economic** test, not a public-interest one.
- **Subsidiarity valves:** the "**German clause**" (**Art. 9**) lets a case be sent *down* to a national authority; the "**Dutch clause**" (**Art. 23**) lets a state ask the Commission to take a case *up*.
- **The 2001–02 shock** (why the "more economic approach" happened): the Commission **blocked GE/Honeywell (2001)** — a US firestorm over "arrogance/poor economics" — then in **2002 lost** its first-ever appeal (**Airtours**, "manifest errors of assessment"), plus **Schneider** and **Tetra Laval**. Response: it **beefed up economics** — a new **chief economist** post (2003), Monti's "economic interpretation."
- **Extraterritorial reach:** the Commission blocked **Deutsche Börse/NYSE Euronext** *despite* US approval — fuelling the recurring US charge that the EU "protects **competitors**, not **competition**."

Digital markets — what happens when market power changes?

Core: digital platforms **break** the traditional competition model. Their economics make **concentration self-reinforcing**, so a dominant platform is far harder to dislodge than a dominant factory.

- **Why digital markets tip to monopoly:**
 - **network effects** — more users → more value → still more users;
 - **economies of scale** — near-zero **marginal cost** to serve one more user;
 - **data advantages** — more users → more data → better service → more users;
 - **ecosystems** — bundled services reinforce each other. → **Result:** concentration **reinforces itself** — a winner-takes-most dynamic.
- **From dominance to gatekeeping.** The old question — *is a dominant firm abusing its position?* — gives way to a structural one: *does the platform **control access** to users and markets?* A **gatekeeper** is "a platform that controls access to a large group of users." Its risks: **lock-in** • **barriers to entry** • **self-preferencing** • **data advantages**.

| Google Shopping — when the platform competes with its own users

Core: the flagship digital abuse-of-dominance case. Google gave its own comparison-shopping service more prominent placement in search results than rivals'. Is that just competition, or abuse of market power?

- The Commission ruled it **abuse of dominance** (self-preferencing) — Google used its **search near-monopoly** to advantage its own downstream service, foreclosing rival shopping comparison sites. (A huge fine followed.) → Illustrates: Art. 102 stretched into digital markets — but slowly, **case by case**, which is precisely the problem the DMA tries to fix.

| The Digital Markets Act — regulation *before* the abuse (ex-ante)

Core: the key shift. Traditional antitrust is **ex-post** (spot conduct → investigate → decide → fine) — but digital markets change faster than enforcement can act. The DMA goes **ex-ante**: set **rules in advance** for designated gatekeepers.

	Traditional antitrust (ex-post)	The DMA (ex-ante)
Logic	<i>did this firm abuse dominance?</i> — after the fact	<i>what obligations must a powerful gatekeeper follow</i> — in advance
Timing	slow, case-by-case, reactive	pre-emptive rules of conduct

- **DMA obligations on gatekeepers:** no self-preferencing • fairer access • interoperability • data-sharing/portability obligations • limits on combining data across services.
- **The bigger question (deck):** is the EU merely **adapting** competition policy to new markets — or **changing its very idea of what a competitive market requires** (from *police abuses after they happen* to *regulate structure up front*)? → This links straight to Wilks's "economic constitution": the EU is writing new constitutional rules for digital capitalism.

Pillar 4 — State aid: when *governments* distort competition

Core: the uniquely-EU pillar. Competition can be rigged not just by firms but by **governments** favouring their own companies. EU **state-aid** control forbids members from **selectively tilting the playing field**.

- **Forms of state aid:** subsidies • tax advantages • preferential loans • government guarantees • preferential access to goods/services.
- **The EU principle:** member states must **not selectively** advantage particular firms/sectors in a way that distorts competition. (This is remarkable — the EU polices its own **member governments'** economic choices, not just companies. A major constraint on national industrial policy.)

| Tax rulings as state aid — Fiat & Apple

Core: the syllabus's Fiat case (and its twin, Apple): the Commission attacked **sweetheart tax deals** as illegal state aid.

- **Fiat (FFT) in Luxembourg and Apple in Ireland:** national tax authorities gave the companies **favourable tax rulings** allowing them to pay very little tax. The Commission argued these were **selective advantages** = **illegal state aid**, and ordered the money **recovered** (Apple: €13 bn). → *Illustrates: state-aid rules reaching into **national tax sovereignty** — hugely controversial (the member states involved often fought the Commission, not wanting the back-taxes). (The courts have gone both ways on these — the legal boundary is contested.)*

The new frontier — foreign subsidies

Core: a **regulatory gap** the EU recently closed. EU state-aid rules bind **EU** governments — but what about a **non-EU** government (e.g. China) subsidizing a firm that then competes in the EU?

- **The gap:** an EU member's subsidy gets **EU scrutiny**; a **non-EU** government's subsidy to a firm competing in the EU market previously had **no equivalent instrument**.
- **The Foreign Subsidies Regulation** fills it: the Commission can investigate **large mergers, big public-procurement bids**, and other situations **on its own initiative** (*ex officio*), and respond with **commitments, remedies, or outright prohibition** of a deal/contract.
- **Bulgarian train procurement (2024):** the Chinese state-owned **CRRC Qingdao Sifang** bid ~€610 m for 20 electric trains + maintenance. → *The dilemma:* should Bulgaria take the **cheaper** offer if the bidder was **foreign-subsidized**? Cheaper trains now vs a **level playing field** and long-term EU industry — the politics of the new tool in a nutshell.

History & political economy — how competition policy became so powerful (Wilks)

Core: competition policy went from a **marginal, distrusted idea** to the EU's **most powerful supranational regime** — and it remains **ideologically contested**.

- **Three roots:** **US antitrust** (late-19th-century — protect "**the little man**" from the industrial "**trusts**"); German **ordoliberalism** (the economic constitution); and the **Treaty of Rome** common-market vision (1958). Competition was once seen as **wasteful and destructive** — **cartels were legal** in Europe until the **late 1960s**, and postwar industrial policy ran on **nationalization, planning and "national champions"**.
- **The neoliberal turn:** the free-market vision became dominant only with the **1980s neoliberal revolution** + the **1992 single market**, then **consolidated** by the fall of communism and the **2004/07 enlargements**.
- **The "more economic approach" (the "turn to economics"):** after the **2001–02 merger defeats**, DG COMP shifted from formalistic legal categories to **effects-based economic analysis** and a "**consumer welfare**" standard — an **Americanization** criticized for embedding **Anglo-Saxon neoliberalism** over the continental "**social-market**"/**Rhenish** model, and for **favouring big transnational firms** (who lobbied for it).
- **Key Commissioners:** **Sutherland** (state-aid "name & shame," late 80s) • **Brittan** (the Merger Regulation) • **Monti** (the €497m **Microsoft** fine; created the chief-economist post) • **Kroes** (the crisis "temporary framework") • **Almunia** (Google; modernization).

- **Competition vs industrial policy** — the enduring tension: **recessions** revive the appeal of state support and **national champions** (France/Germany/Italy protective). DG COMP's fortunes **ride the economic cycle** (boom → more mergers, less resistance; recession → interventionist voices win).
- **The financial-crisis test (the big one)**. After **Lehman (2008)**, an "avalanche" of **bank bailouts** and calls (Sarkozy) to **suspend** state-aid rules. Commissioner **Kroes did not suspend** — she enacted a "temporary framework" (Dec 2008) allowing **rescue aid under conditions** aimed at eventually restoring competition. The scale was staggering: ~€1.6 tn of bank aid *used* (13% of EU GDP), €5.1 tn **approved** (40% of 2011 GDP); Ireland approved aid worth 365% of its GDP. → **Wilks's verdict**: the regime "bent but did not buckle" — either a "mild triumph" that defended the economic constitution, *or* a **return to the status quo** that reproduced the very oligopolies and banks that caused the crisis. **None of the forecast threats** (protectionism, a swing to the Rhenish model) **materialized** — the Commission **defended the economic constitution**.
- **The accountability debate** (recap): the "prosecutor, judge and jury" critique, **corporate-lobbying** influence, and the **legitimacy** question — which **Majone** answers by "**output legitimacy**" (expertise + efficiency + due process, not democratic control — see theories).

★ Three theories of EU competition policy

Core: the deck's framing — **three lenses on the same outcomes** (the Commission's growing power; Google → the DMA; the Foreign Subsidies Regulation). Ask **what each theory looks for**.

Lens	Core claim	Looks for...
Liberal Intergovernmentalism	member states had different preferences about competition policy	bargaining · who wanted what · bargaining power
Supranationalism / neofunctionalism	the Commission acquired expertise & enforcement authority	Commission autonomy · spillover · new competences
Ideas (constructivism)	understandings of the proper role of state & market changed	changing norms about legitimate markets

- **Apply them (the deck's grid)**:
 - **Commission becomes more powerful** → *LI*: who agreed? · *Supra*: how did **autonomy** develop? · *Ideas*: what became **legitimate**?
 - **Google → DMA** → *LI*: what did **governments** want? · *Supra*: did **regulatory gaps** create spillover? · *Ideas*: how did **ideas about competition** change?
 - **Foreign Subsidies Regulation** → *LI*: which **states** pushed for it? · *Supra*: why did **EU authority** expand? · *Ideas*: what does "**fair competition**" now mean?
- **Wilks's own lens** — Majone's "**regulatory state**": competition policy is the **classic example** of EU "**non-majoritarian**" **regulation** — legitimized not by majority vote but by **expertise, due process and objective efficiency** ("output legitimacy"). It's **law-driven policy-making**, run through courts and a network of agencies. (*This is the EU III neoliberal debate in its purest institutional form.*)
- **The takeaway**: no single theory wins — but competition policy is the **strongest case for supranationalism** (an autonomous Commission that expanded its own authority), *framed* by a

powerful **idea** (the market/economic constitution) that member states then **had** to accept.

★ Fun facts & memorable details (EU IV: Competition Policy)

Sticky bits from the competition-policy lecture.

- **The ECB for markets.** Wilks's image: just as the **ECB** guards the currency, the competition rules guard the **free market** — an "**economic constitution**" for Europe.
 - **DG COMP is tiny.** ~720 staff (about 436 decision-makers) police a market of **450 million** people — the member states reportedly **keep it understaffed** on purpose, as one of the few ways to **rein it in**.
 - "**Policeman, arbitrator, prosecutor, judge, jury — and prison officer.**" The memorable jibe about the Commission doing *everything* in a competition case inside one building.
 - **The "nuclear option" has never been fired.** Since 2003 the Commission *can* force a company to **break itself up** (divestiture) — "the antitrust equivalent of a nuclear strike" — but has **never** done it.
 - "**The Full Monti.**" When Commissioner Mario Monti fined **Microsoft €497 m** (2004) for bundling Media Player, the *FT* headline wrote itself. Microsoft's total hit reached **€1.6 bn** by 2013.
 - **Leniency is a prisoner's dilemma weapon.** The first cartel member to confess walks free — so nobody trusts anyone. In **2012** there were **60 leniency applications** but only **5 cartel decisions**.
 - **Fines fund the EU.** Competition fines — **€7 bn over 2009–13** — go straight into the **EU budget**. A **€1.47 bn** single-cartel fine (TV tubes, 2012) set a record.
 - **Ireland guaranteed bank aid worth 365% of its GDP** during the crisis — the most extreme state-aid commitment in EU history.
 - **Cartels can conspire *not to innovate*.** The car-makers agreed to hold back **cleaner emissions tech** — a reminder that competition drives not just prices but progress.
-